

Pearson Edexcel International GCSE

Predicted Paper — ADVANCED

4EC1/01 Economics Level 1/2

PAPER 1: Microeconomics and Business Economics

Time: 1 hour 30 minutes

Total Marks: 80

You do not need any other materials. Calculators may be used.

Instructions

- Use black ink or ball-point pen.
- Answer all questions.
- Answer the questions in the spaces provided — there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box and then mark your new answer with a cross.

1 (a) Which one of the following values shows unitary price elasticity of demand? (1)

- ☐ A 0
- ☐ B -0.5
- ☐ C -1
- ☐ D -2

(b) A worker earns €12.00 per hour for a 35-hour week. In a particular week they also complete 6 hours of overtime paid at a rate of 1.75 times their hourly rate. Their total gross weekly wage is (1)

- ☐ A €420.00
- ☐ B €492.00
- ☐ C €546.00
- ☐ D €585.00

(c) What is meant by the term planned economy? (2)

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(d) State one example of an occupation that is in the tertiary sector of an economy. (1)

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(e) Define the term factor of production. (1)

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(f) A firm increases the price of its product by 15% and, as a result, the quantity demanded falls by 24%. Calculate, to two decimal places, the price elasticity of demand (PED) for the product. You are advised to show your working. (2)

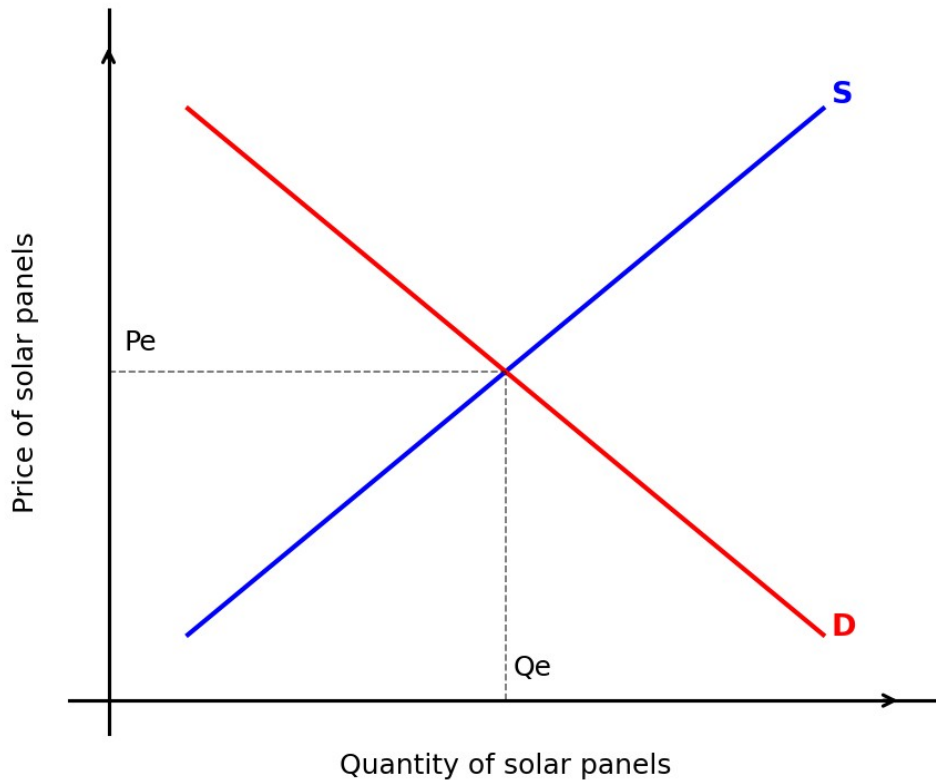
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(g) Figure 1 shows the market for solar panels. Using the diagram below, draw the likely effects on the market for solar panels if the government introduces a subsidy for producers. Label the new curve, the new equilibrium price and the new equilibrium quantity. (3)



MediCorp is a pharmaceutical firm. The company has reported record profits of \$420 million this year and the board is deciding whether to pay these profits to shareholders as dividends, or to invest the funds in research and development (R&D) for a new cancer treatment.

(h) Explain one possible opportunity cost for MediCorp of choosing to invest in R&D rather than paying dividends. (3)

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Sony is a Japanese multinational producing consumer electronics. Rising production costs in Japan and a growing market in South-East Asia have led Sony to consider relocating a large part of its camera assembly operations from Japan to Vietnam. A new factory in Vietnam would cost significantly less to operate, but Sony would face set-up costs, training expenses, and potential quality-control challenges.

(i) With reference to the data above and your knowledge of economics, analyse two possible factors influencing Sony's decision to relocate its camera assembly to Vietnam. (6)

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(Total for Question 1 = 20 marks)

2 (a) Which one of the following diagrams shows the effect of an increase in the cost of raw materials used to produce a good? (1)

- ☐ **A** A rightward shift of the supply curve, with a lower equilibrium price and a higher equilibrium quantity
- ☐ **B** A leftward shift of the supply curve, with a higher equilibrium price and a lower equilibrium quantity
- ☐ **C** A rightward shift of the demand curve, with a higher equilibrium price and a higher equilibrium quantity
- ☐ **D** A leftward shift of the demand curve, with a lower equilibrium price and a lower equilibrium quantity

(b) Which one of the following is a feature of monopolistic competition? (1)

- ☐ **A** A single dominant firm in the market
- ☐ **B** Firms sell identical products
- ☐ **C** Firms sell differentiated products and have some price-making ability
- ☐ **D** Very high barriers to entry

(c) A firm raises the price of its product from \$40 to \$44. As a result, weekly sales fall from 1,000 units to 900 units. Calculate, to two decimal places, the percentage change in the firm's total revenue. You are advised to show your working. (2)

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(d) What is meant by the term merit good? (2)

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(e) Describe one feature of a monopoly. (2)

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(f) Explain one reason why Piotr may want to donate to the food bank rather than maximise the profits received by the owner. (3)

[illegible]

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of tradable pollution permits when dealing with negative externalities such as carbon emissions. (9)

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(Total for Question 2 = 20 marks)

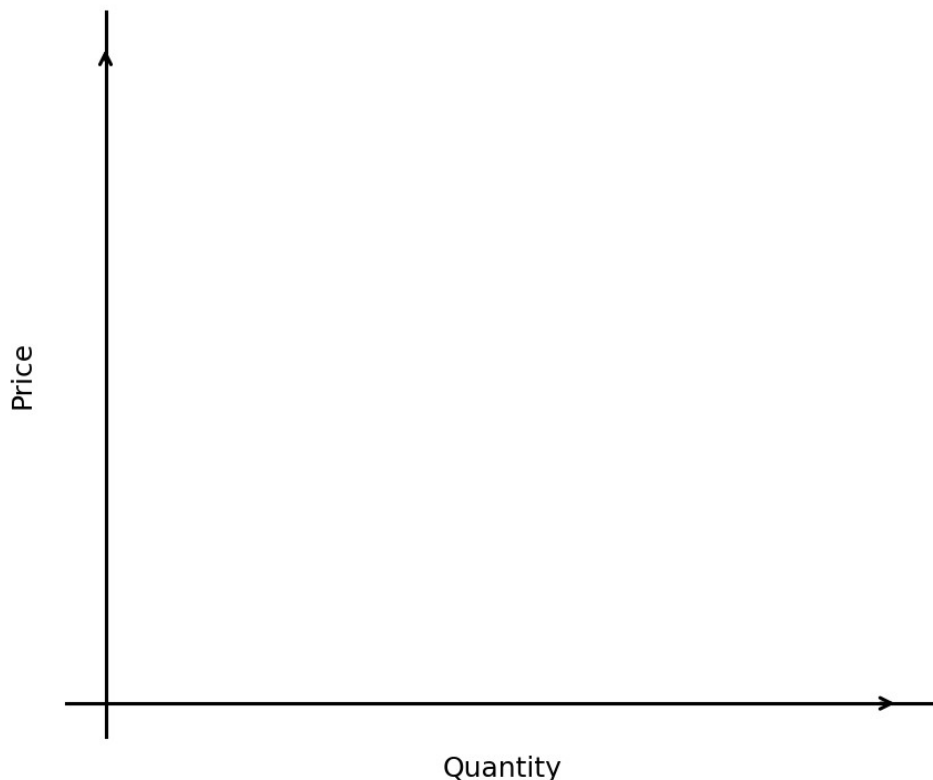
3 (a) Which one of the following is most likely to cause a decrease in the demand for labour by a firm? (1)

- ☐ **A** An increase in consumer demand for the firm's product
- ☐ **B** A rise in the productivity of labour
- ☐ **C** The introduction of labour-saving automation
- ☐ **D** A fall in the cost of training workers

(b) Which one of the following is the correct formula to calculate total revenue? (1)

- ☐ **A** Price $\times$ quantity sold
- ☐ **B** Total cost + profit
- ☐ **C** Price $\div$ quantity sold
- ☐ **D** Quantity sold + profit

(c) Using the diagram below, draw a perfectly price inelastic demand (PED) curve. Label the curve and show the effect on both axes from a change in price. (3)



Rolex is a luxury Swiss watchmaker that has been producing high-end watches for over a century. Each watch goes through more than 100 production stages, with individual craftsmen specialising in a single element — such as movement assembly, engraving, or dial fitting. It can take up to a year for a single Rolex watch to be fully produced.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for Rolex of using specialisation in its production process. (6)

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Bread is an inexpensive staple food in many countries, produced by large numbers of competing bakers and supermarkets. Consumers buy it regularly and there are many close substitutes, such as rice, pasta and breakfast cereals. Designer branded clothing (for example, from Gucci or Balenciaga) is typically expensive, positioned as a luxury, and often seen by consumers as a status symbol.

(e) With reference to the data above and your knowledge of economics, assess whether demand is likely to be more price elastic for designer branded clothing than for bread. (9)

(Total for Question 3 = 20 marks)

4 Figure 2 shows the daily operating data for a regional airline.

Number of flights per day	Average passengers per flight	Average ticket price (\$)	Total daily operating cost (\$)
24	150	85	240,000

Figure 2

(a) Calculate the daily total revenue earned by the airline. You are advised to show your working. (2)

[illegible]

Samsung Electronics is one of the largest technology firms in the world. It produces smartphones, televisions, memory chips, and home appliances on a very large scale. Its semiconductor plant in Pyeongtaek, South Korea, is one of the most automated in the world, and the firm invests over \$30 billion per year in research and development across its global business.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for Samsung. (6)

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In 1999, Kenya's telecommunications industry was dominated by a state-owned monopoly and mobile phone ownership was low. Since then, the government has deregulated the market, allowing new private firms such as Safaricom and Airtel to compete. Mobile phone ownership has risen to over 95% of adults, prices have fallen significantly, and innovations such as the mobile-money service M-PESA have transformed financial access. However, some critics argue that market power has now concentrated in a small number of firms, and that rural users still face limited coverage and higher prices.

(c) With reference to the data above and your knowledge of economics, evaluate whether consumers in Kenya are likely to have benefited from the deregulation of the telecommunications industry. (12)

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(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS